

Other Operating Expenses

Overall Expenses have decreased. Having gone through each line item, we can say that the reason for such a decrease in expenses can be mainly attributed to decrease in COGS and reduced advertising and traveling expenses by the company. Having understood that, we know that the decrease in advertising cost is not sustainable and company will increase that.



EBIT generated by the company

We see that the company's operating costs have been decreasing and as a result, EBIT margins have gone up. However, we also know that the company had spent less on advertising which is not sustainable.

We also saw that Gross margins over the years are cyclical for the company which makes the EBIT margins cyclical as well.

We can see how so far we have been concerned with the changes. The entire effort is to identify parts of the business that have changed (Improved/ Deteriorated) and understand the reasons behind them.



Non-operating Revenue

With this, we come to the non-operating part of the income statement

Non - operating Revenue:						
Interest	0%	0%	0%	0%	0%	0%
Dividend	0%	0%	0%	0%	0%	0%
Other non operating Income	1%	2%	2%	2%	2%	1%
Total Non- operating revenue	1%	2%	2%	2%	2%	1%

We can see that the non-operating part of the revenue is very small in size and therefore does not require a very detailed understanding. However, if this number was large, we would have gone in lot of detail to understand the items making these numbers.